Plan Comparison Policy
Policy Identifier: KB-TEL-PLN-002 Version 1.0

Plan Comparison Governance

Effective Date: 2026-10-24

Abstract

This policy establishes the rules for comparing current plans, retention offers, and competitor plans. It applies to comparisons involving `tenure`, `MonthlyCharges`, `Contract`, `InternetService`, and add-on services. The policy supports consistent evaluation of effective monthly cost, total cost over a comparison horizon, switching cost, and net savings.

Contents

1 Scope **3**

2 Policy Principles **3**

3 Document Control **3**

4 Customer Attributes Used in Plan Comparison **3**

5 Plan Record Requirements **4**

6 Contract Normalization **4**

7 Service Comparability **4**

8 Add-On Normalization **5**

9 Derived Comparison Metrics **5**

10 Switching Costs **6**

11 Plan Comparison Matrix **6**

12 Recommendation Rules **6**

13 Price Match Comparison Constraints **6**

14 Output Record **7**

15 Compliance and Disclosure Requirements **8**

16 References and Design Inputs **8**

1 Scope

This policy applies to comparison of the customer's current plan, internal retention offers, internal upgrade or downgrade plans, competitor offers used for price matching, and win-back offers. It governs normalization, derived cost metrics, like-for-like comparison, switching costs, recommendation constraints, and disclosure.

2 Policy Principles

Plan comparisons shall be transparent, comparable, and auditable. A plan shall not be represented as cheaper if the lower price depends on an undisclosed temporary credit, incompatible bundle, or unverified competitor claim. Comparisons shall show recurring monthly price, temporary discount duration, post-discount price, one-time fees, equipment obligations, and early termination exposure where relevant. A customer shall not be moved to a lower service tier without explicit consent.

3 Document Control

Table 1: Document control information

Item	**Value**
Policy identifier	KB-TEL-PLN-002
Policy version	1.0
Effective date	2026-10-24
Review interval	Annual
Policy owner	Plan Comparison Governance

4 Customer Attributes Used in Plan Comparison

The policy uses a defined set of customer attributes to determine contract exposure, service comparability, and recurring cost. These attributes are interpreted consistently across all plan comparison outputs.

Table 2: Customer attributes and comparison application

Attribute	**Comparison application**
`tenure`	Used to calculate remaining contract exposure, loyalty eligibility, and switch-cost estimates.
`MonthlyCharges`	Provides the baseline recurring monthly charge. Where line-item detail is unavailable, this amount is treated as the consolidated recurring monthly charge.
`Contract`	Determines contract horizon and early termination exposure.
`InternetService`	Determines whether plans are comparable by service category.
Add-on services	Optional services used to normalize plan scope and calculate equivalent recurring charges.

5 Plan Record Requirements

A plan record shall contain the elements needed for a complete comparison. The required elements are set out in the following table.

Table 3: Standard plan record elements

Element	Description
`PlanID`	Unique identifier for the plan or offer.
`Contract`	Contract term associated with the plan.
`InternetService`	Internet service category.
`BaseMonthlyCharge`	Recurring monthly charge for the core plan, excluding add-ons.
`AddOnServices`	Active or included optional services.
`AddOnMonthlyCharge`	Recurring monthly charge for all add-ons.
`EquipmentMonthlyCharge`	Recurring monthly equipment charge, where applicable.
`PromoDiscount`	Temporary monthly discount.
`PromoMonths`	Number of months for which the promotional discount applies.
`OneTimeFees`	Activation, installation, or other one-time charges.
`ETFExposure`	Early termination fee associated with leaving the plan early, where applicable.

Where only a consolidated monthly amount is available, the base, add-on, and equipment components shall be reconstructed using approved line-item rules or conservative imputation.

6 Contract Normalization

Contract categories are normalized to committed terms for comparison and switching-cost calculation.

Table 4: Contract normalization

Raw contract category	Normalized term	Interpretation
Month-to-month	0 months	No early termination fee under standard policy.
One year	12 months	Fixed-term early termination exposure may apply.
Two year	24 months	Fixed-term early termination exposure may apply.

The default comparison horizon is 12 months for Month-to-month arrangements and the remaining committed term for fixed-term arrangements. A 24-month horizon may be used for strategic lifetime value comparison.

7 Service Comparability

Plans are comparable only where the internet service category is equivalent or the alternative is an explicit upgrade accepted by the customer.

Table 5: Internet service comparability rules

Current service category	**Comparable alternative**	**Policy note**
DSL	DSL or higher-speed alternative	Upgrades may be compared where the customer consents and pricing is disclosed.
Fiber optic	Fiber optic with equal or higher speed tier	Lower-speed fiber or non-fiber alternatives require explicit downgrade consent.
No internet service	No internet service or new internet activation	New activation rules apply.

8 Add-On Normalization

Add-on services shall be normalized to canonical categories including `OnlineSecurity`, `OnlineBackup`, `DeviceProtection`, `TechSupport`, `StreamingTV`, `StreamingMovies`, and `MultipleLines`. Where a competitor offer includes an equivalent add-on, its value shall be included in the comparable monthly charge. Where the competitor offer excludes an add-on currently used by the customer, the comparison shall show the add-on as an incremental charge or flag the plan as non-equivalent. Binary indicators shall be treated as active or inactive in a consistent manner.

9 Derived Comparison Metrics

Let M_b denote base monthly charge, M_a denote add-on monthly charge, M_e denote equipment monthly charge, d_p denote promotional monthly discount, P denote promotion duration in months, H denote comparison horizon in months, F_{one} denote one-time fees, $\text{ETF}_{\text{switch}}$ denote expected switching cost, and C_{credits} denote one-time credits.

The effective monthly charge during a promotion is

$$M_{\text{eff}}^{\text{promo}} = M_b + M_a + M_e - d_p.$$

The standard monthly charge after promotion is

$$M_{\text{eff}}^{\text{standard}} = M_b + M_a + M_e.$$

The total cost over horizon H is

$$C_H = H(M_b + M_a + M_e) - d_p \cdot \min(H, P) + F_{\text{one}} + \text{ETF}_{\text{switch}} - C_{\text{credits}}.$$

The average monthly cost over the horizon is

$$\overline{M}_H = \frac{C_H}{H}.$$

The net savings of an alternative plan relative to the current plan is

$$S_H = C_H^{\text{current}} - C_H^{\text{alternative}}.$$

A positive value indicates that the alternative plan is cheaper over the comparison horizon.

10 Switching Costs

Switching cost shall include all costs the customer is likely to incur when moving from the current plan to an alternative plan.

$$\text{ETF}_{\text{switch}} = \text{ETF}_{\text{current}} + F_{\text{activation}} + F_{\text{equipment risk}} + F_{\text{other}}.$$

The current early termination component applies only where the customer remains inside a committed term. Activation costs apply where the alternative plan requires a new activation or installation. Equipment risk applies where equipment is not returned within the required period. Other unavoidable switching costs shall be included where they can be reasonably estimated. For Month-to-month customers, the current early termination component is zero under normal conditions.

11 Plan Comparison Matrix

The plan comparison matrix shall record the effective monthly charge, total horizon cost, and net savings for the current plan, retention offer, and competitor offer.

Table 6: Plan comparison matrix

Plan	**Contract**	**InternetService**	**Effective MRC**	**Horizon cost**	**Net savings**
Current plan	Current value	Current value	M_{eff}	C_H	0
Retention offer	Proposed value	Comparable value	M_{eff}	C_H	S_H
Competitor offer	Competitor value	Comparable value	M_{eff}	C_H	S_H

12 Recommendation Rules

Recommendation rules shall be applied after normalization and cost calculation.

13 Price Match Comparison Constraints

A competitor plan can trigger a price-match offer only where the competitor plan is available at the customer service address, the `InternetService` category is comparable, the speed tier is equal to or higher than the current service unless the customer explicitly accepts a downgrade, the contract term is comparable, add-on services are substantially equivalent or separately priced, the competitor price is recurring and not dependent on undisclosed bundles or temporary credits, and the offer is verifiable and recent.

Table 7: Plan recommendation decision rules

Condition	Required action
Positive net savings and comparable plans	Present the alternative plan or a matching retention offer.
Switching cost exceeds net savings	Do not recommend switching. Offer an internal retention discount instead.
Competitor price lower but service not comparable	Flag as non-comparable and do not use for price matching without disclosure.
Alternative reduces service quality	Require explicit customer consent and disclose the downgrade.
Alternative removes an active add-on	Treat as non-equivalent unless the customer confirms the add-on is not needed.
Promotional discount expires within the comparison horizon	Show both promotional and post-promotional monthly prices.
Customer is in a fixed-term contract	Show early termination exposure before recommending an external switch.

Where a competitor offer contains a short promotional period, the competitor price shall be normalized over the comparison horizon before deciding whether to match. The normalized competitor average is

$$\overline{M}_{\text{comp},H} = \frac{C_H^{\text{comp}}}{H}.$$

The provider may match the normalized average price rather than the teaser price.

14 Output Record

For each comparison, the following output elements shall be stored.

Table 8: Comparison output record

Element	Description
Customer identifier	Unique customer identifier.
Comparison date	Date the comparison was generated.
Current plan identifier	Identifier for the current plan.
Alternative plan identifier	Identifier for the retention, upgrade, or competitor plan.
Comparison horizon	Value of H used in the comparison.
Current monthly charge	Current recurring monthly charge.
Alternative effective monthly charge	Effective recurring monthly charge for the alternative plan.
Total current cost	C_H^{current}.
Total alternative cost	$C_H^{\text{alternative}}$.
Estimated switching cost	$\text{ETF}_{\text{switch}}$ and related charges.
Net savings	S_H.
Comparable indicator	True where the alternative plan is like-for-like.
Recommended action	Retain, switch, price match, escalation, or no offer.
Disclosure text	Human-readable disclosure of price, term, early termination, and equipment terms.

15 Compliance and Disclosure Requirements

Any customer-facing plan comparison shall include the recurring monthly price during the promotion, the recurring monthly price after the promotion, the comparison horizon, one-time fees, equipment charges and return obligations, early termination exposure for fixed-term plans, any add-ons excluded from the comparison, and whether the plan is an upgrade, downgrade, or like-for-like replacement.

A plan shall not be advertised as cheaper unless the comparison is substantiated and the material terms are disclosed.

16 References and Design Inputs

This policy draws upon principles commonly associated with IMDA and IDA telecom consumer guidance, ACM consumer market rules, and industry churn mitigation practice. Jurisdiction-specific values and disclosure requirements shall be reviewed before production use.